INSURANCE AND PENSIONS COMMISSION

LIFE ASSURANCE SECTOR

REPORT

FOR

THE QUARTER ENDED 31 MARCH 2018

Table of Contents

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1. Executive Summary

1.1 As at 31 March 2018, the life assurance industry was composed of 11 direct life assurance companies, 5 composite reassurance companies and 1,571 agents.

1.2 Gross premium written (GPW) for direct life assurance companies for the quarter ended 31 March 2018 was $97.0 million, representing a 17% increase from $82.6 million reported for the quarter ended 31 March 2017.

1.3 On the other hand, life reassurance companies GPW grew by 30% from $1.43 million reported for the quarter ended 31 March 2017 to $1.87 million for the quarter under review.

1.4 Direct life assurers ceded $1.5 million which is 1.5% of the total gross premium written, thereby retaining 98.5% of the business written during the quarter ended 31 March 2018.

1.5 Total assets for both life assurers and life reinsurers went down by 4% from $2.48 billion as at 31 December 2017 to $2.39 billion as at 31 March 2018. The decrease was on the back of a decline in the value of equities.

1.6 As at 31 March 2018, 7 out of 11 life assurance firms reported capital positions which were above the minimum regulatory requirement of $5 million. However these reported capital positions were not adjusted for asset admissibility in line with Statutory Instrument 95 of 2017.

1.7 A total of 8 out of the 11 direct life assurance companies and 3 out of 5 life reinsurance institutions were in compliance with the minimum prescribed asset threshold of 7.5%. As at 31 March 2018, the average prescribed ratio stood at 11.71% and 9.31% for life assurers and life reassures respectively.

1.8 The direct life assurance companies recorded a total loss of $96.8 million for the quarter ended 31 March 2018 compared to $11.2 million profit reported for the quarter ended 31 March 2017.

1.9 The loss was mainly attributable to poor performance of investments as reflected by a total negative investment income of $123.0 million for the quarter under review.

1.10 Direct life assurance companies reported an underwriting profit of $28.0 million, for the quarter ended 31 March 2018, which was an increase of 78% from $15.8 million reported for the quarter ended 31 March 2017. The increase in total underwriting profit was mainly attributable to an increase in gross premium written.

1.11 Total net claims for direct life assurers amounted to $45.3 million for the quarter under review which reflected a marginal decrease from $46.6 million reported for the quarter ended 31 March 2017.

PART A - LIFE ASSURANCE BUSINESS

2. Industry Architecture

2.1 There were 11 registered life assurers and 5 registered composite reassures under the supervision of the Insurance and Pensions Commission (IPEC) as at 31 March 2018.

2.2 The life assurance companies had 1,571 agents comprising both corporate agents and individual agents as shown in table below.

Table 1: Distribution of Agents across Life Assurers

Name of Company	Corporate Agents	Individual Agents		Total
	Fully Registered	Fully Registered	Provisionally Registered	
1. CBZ Life	4	29	31	64
2. Econet Life	-	-	-	-
3. Evolution Health & Life	-	-	-	-
4. Fidelity Life Assurance	-	20	30	50
5. First Mutual Life	-	118	98	216
6. Getsure Life Assurance	1	22	5	28
7. Heritage Life	-	29	2	31
8. Nyaradzo Life Assurance	9	269	34	312
9. Old Mutual Life Assurance	10	247	22	279
10. ZB Life Assurance	-	116	223	339
11. Zimnat Life Assurance	-	235	17	252
Total	**24**	**1,085**	**462**	**1,571**

3. Performance in terms of Business Written

3.1 The volume of business written by the life assurers in terms of gross premium increased by 17% from $82.6 million for the quarter ended 31 March 2017 to $97.0 million for the quarter ended 31 March 2018.

3.2 The growth in business was mainly attributable to increased up take of funeral business. Table below shows the growth in business across different product classes.

Table 2: Business composition by product line

Product	Mar-17	Mar-18	Growth (%)
1. Annuities	3,662	4,937	35%
2. Term Insurance	2,317	2,772	20%
3. Endowment	402	744	85%
4. Pure Endowment	614	851	39%
5. Whole Life	2,406	2,091	-13%
6. Funeral	30,524	36,916	21%
7. Fund Business	32,110	38,079	19%
8. Other/GLA	10,577	10,585	0%
Total	**82,612**	**96,975**	**17%**

3.3 A total of 1.7 million policies were lapsable and a total of 55,000 policies for both individual life and employee benefits were lapsed during the quarter ended 31 March 2018.

3.4 This translated into a lapse ratio of 3.21% for the quarter ended 31 March 201 which compared favourably with a lapse ratio of 7% reported for the comparative period in 2017. (See annexure 4 below which provides more information about lapses during the period under review).

3.5 In addition, the industry also reported 24 000 policies with a total gross premium of $155,000 which were not taken up during the quarter ended 31 Mach 2018 (See annexure 5). The value of gross premium for the not taken up policies shows the potential income that the life assurance industry has lost.

4. Capitalisation

4.1 In terms of Statutory Instrument 95 of 2017, the current minimum regulatory capital requirement for primary life assurers is $5 million based on admissible assets.

4.2 As at 31 March 2018, the unadjusted capital positions for life assurance players ranged from $0.6 million to $248.6 million. A total of 7 out of the 11 primary life assurers reported capital positions which were above $5 million as depicted in the table below.

4.3 There were notable decreases in capital positions for Fidelity Life and Heritage life during the quarter under review. The decreases were mainly attributable to a decline in retained earnings.

4.4 IPEC continues to monitor the implementation of approved recapitalization plans for non-compliant insurers.

Table 3: Trend in the Capital Position

Company	Capital Position				
	Mar-17	Jun-17	Sep-17	Dec-17	Mar-18
1. CBZ Life	15,498	15,503	16,674	17,587	19,049
2. Econet Life	6,129	8,581	15,769	11,016	10,752
3. Evolution Health & Life	3,281	3,210	3,283	3,210	3,233
4. Fidelity Life Assurance	17,070	16,865	18,274	16,741	2,552
5. First Mutual Life	12,290	12,900	74,654	74,711	77,236
6. Getsure Life Assurance	3,799	3,943	4,023	4,254	3,363
7. Heritage Life	3,395	2,129	2,451	2,170	620
8. Nyaradzo Life Assurance	13,496	11,823	13,271	14,069	12,680
9. Old Mutual Life Assurance	162,278	204,885	332,485	271,532	248,578
10. ZB Life Assurance	15,530	15,758	16,102	15,995	16,109
11. Zimnat Life Assurance	20,759	22,421	23,290	25,491	25,646
Total	**273,525**	**318,018**	**520,276**	**456,776**	**419,818**

5. Asset Quality

5.1 During the quarter under review, the total assets for the industry declined by 4% from $2.5 billion as at 31 December 2017 to $2.4 billion as at 31 March 2018. The decline in total assets was mainly attributable to a decline in the value of investments in equities from $1.18 billion as at 31 December 2017 to $1.09 as at 31 March 2018.

5.2 The above mentioned decline in equities was mainly driven by a bearish trend that was observed on the Zimbabwe Stock Exchange during the quarter under review, following a bullish trend observed in the second half of 2017.

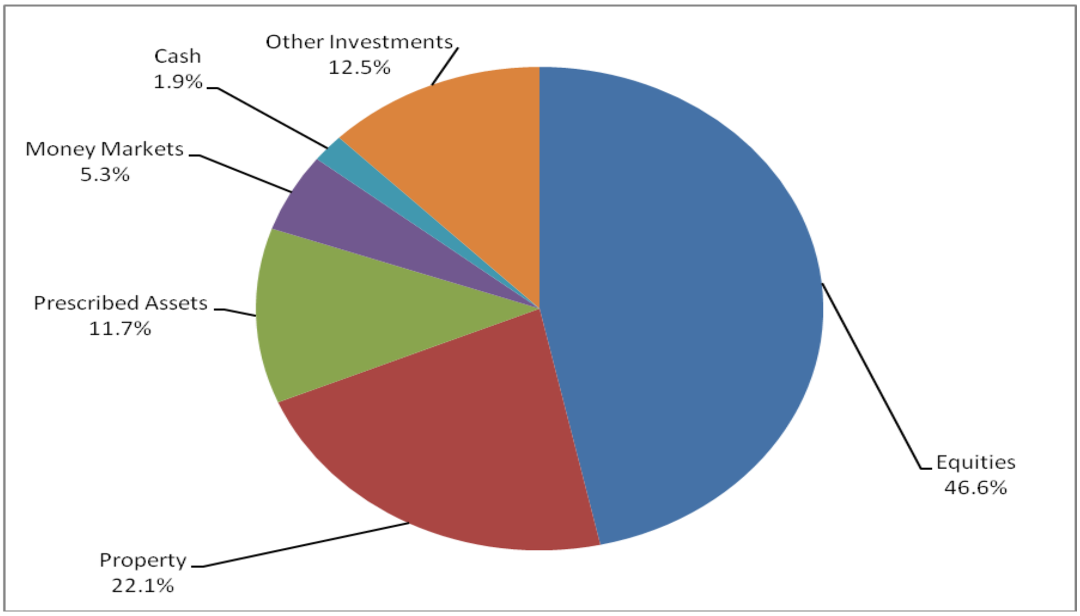
5.3 Notwithstanding the decline in equities mentioned above, equities remained the major asset class for life assurance companies and accounted for 47% of total assets as at 31 March 2018.

5.4 Long term assets comprising fixed properties and equities for the industry constituted 69% of the total insurance industry assets.

5.5 Such an asset allocation reflects the general nature of the liabilities for the sector which are also long term in nature.

5.6 The following figure shows the distribution of total assets as at 31 Mach 2018.

Figure 1: Industry Asset Mix as at 31 March 2018



*(*Please note from the table above, "other investments" comprises of Plant and Equipment, receivables and unquoted shares.)*

5.7 Notwithstanding the above statement, individual insurers should constantly and consistently adjust their asset portfolio to match their liabilities.

5.8 The industry average prescribed asset ratio as at 31 March 2018 was 12%, which was above the regulatory minimum prescribed asset ratio of 7.5% for life assurance companies. However, out of the 11 life assurance institutions 8 institutions reported prescribed asset ratios which were below the minimum threshold.

5.9 Such players are encouraged to put in place measures to ensure compliance with the minimum prescribed asset ratio on an ongoing basis to avoid penalties.

6. Reinsurance

6.1 During the quarter ended 31 March 2018, primary life assurers wrote $97 million in gross premiums as indicated in section 4 of this report.

6.2 Of this gross premium, the life assurers ceded only about $1.5 million which is 1.5% of the total gross premium written, thereby retaining 98.5% of the business written.

6.3 The Commission encourages insurers to consider reducing their retention levels as part of their underwriting risk management, more so in view of the fact that some of the institutions are inadequately capitalised.

7. Earnings

7.1 Direct life assurers made a total loss of $96.8 million for the quarter ended 31 March 2018 which compared unfavourably with a profit of $11.2 million reported for the comparative period in 2017.

7.2 The decline in profit was mainly driven by poor performance of investments as evidenced by a negative investment income of $123 million reported for the quarter ended 31 March 2018.

7.3 Underwriting profit grew by 78% from $15.8 million for the quarter ended 31 March 2017 to $28.0 million for the current reporting period.

7.4 The increase was partly on the back of an increase in gross premium written from $82.6 million to $97 million and a decrease in claims paid from $42 million to $37.7 million for the respective quarters.

7.5 Nine (9) of the eleven (11) life assurers reported positive underwriting income whilst two (2) life assurers reported underwriting losses as indicated in annexure 8.

8. Liquidity

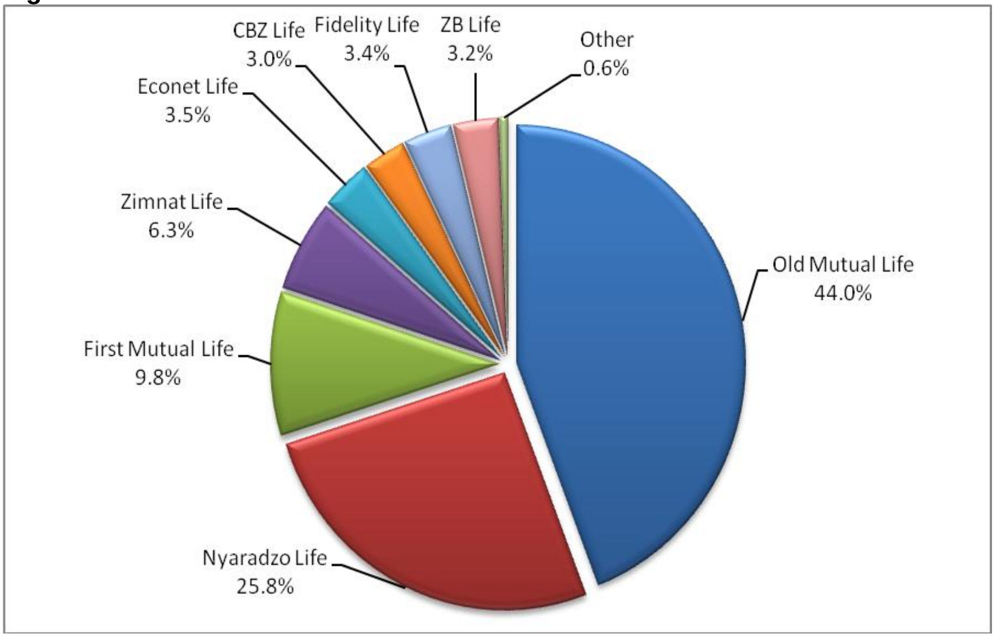
8.1 Current assets decreased from $309.1 million as at 31 December 2017 to and $299.7 million as at 31 March 2018. On the other hand Current liabilities also decreased from $115.6 million as at 31 December 2017 to $113.4 million as at 31 March 2018.

8.2 The above mentioned trend, translated into a decrease in the industry liquidity ratio (current ratio) from 267% as at 31 December 2017 to 264% as at 31 March 2018. The bulk of the current assets for the industry constitute short term investments and cash implying high liquidity for the industry.

9. Market Share

9.1 In terms of GPW, Old Mutual Life constituted 44% of the business followed by Nyaradzo Life with 26% as indicated in figure 2 below.

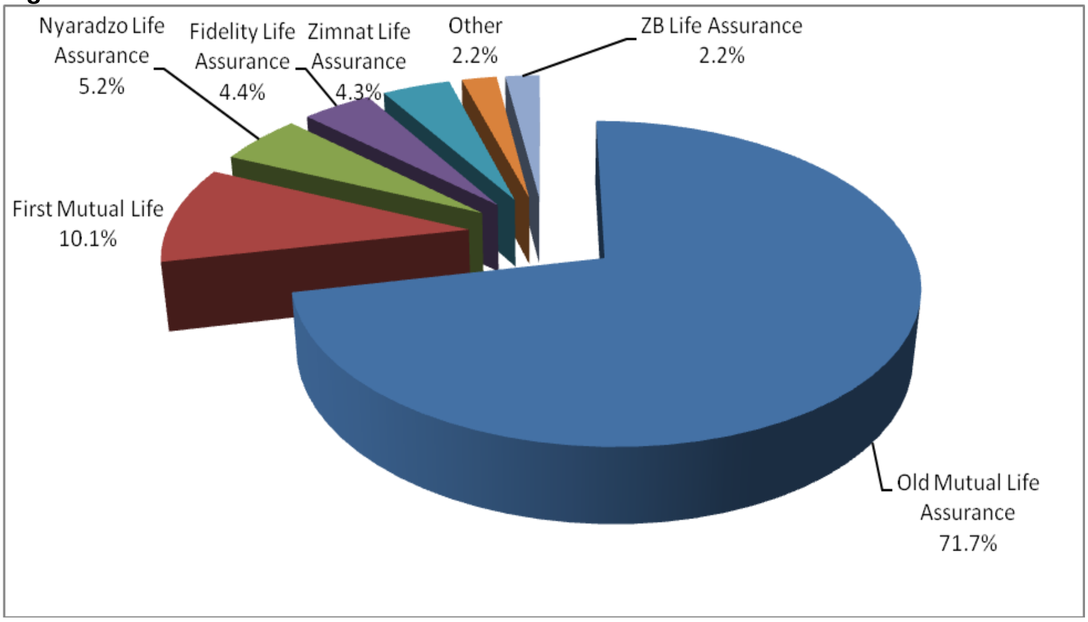
Figure 2: Market Share in terms of Business Written



**Other comprises Evolution Life, Heritage Life and Getsure Life*

9.2 However, in terms of total assets, Old Mutual Life constituted 72% of the market share followed by First Mutual Life at 10%.

Figure 3: Market Share in terms of total assets



Other comprises Evolution Life, Heritage Life, CBZ Life, Econet Life and Getsure Life

PART B LIFE REASSURANCE BUSINESS

Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

10. Number of Operational Institutions

10.1 As at 31 March 2018, there were 5 operational composite reinsures.

10.2 The statistics presented in this section of the report pertains to only life assurance business generated by these composite reinsurers.

11. Performance in terms of Business Written

11.1 The volume of life assurance business written by the composite reinsurers, in terms of Gross Premium Written (GPW), increased by 30% from $1.4 million for the quarter ended 31 March 2017 to $1.9 million for the quarter ended 31 March 2018 (See Annexure 6).

11.2 The growth in business was mainly driven by an increase in group life assurance business.

12. Capitalization

12.1 As at 31 March 2018, 4 out of 5 registered composite reinsurers reported capital positions which were compliant with the minimum capital requirement of $7.5 million.

12.2 As at the reporting date, the unadjusted capital positions for composite reassurance players ranged from $5.6 million to $44.9 million (See Table 4, below).

Table 4: Trend in the Capital Position for Composite Reassurers

Company	Capital Position		
	Sep-17	Dec-17	Mar-18
1. Baobab Re	44,735	44,566	44,861
2. FBC Re	27,849	26,708	28,060
3. FM Re	10,869	9,560	9,318
4. Grand Re	7,555	9,244	9,735
5. Zep Re	5,927	6,082	5,607
Total	**96,935**	**96,160**	**97,581**

**Please note, the capital positions above comprises for both life and non-life reassurance business (Composite Reassurance Business).*

12.3 However, these reported capital positions were not adjusted in line with the provisions of Statutory Instrument (SI) 95 of 2017 which, among other things, discounts for non-permissible assets.

12.4 Reinsurers must continuously ensure that their minimum capital requirements are compliant to avoid statutory penalties and other adverse regulatory measures.

13. Asset Quality

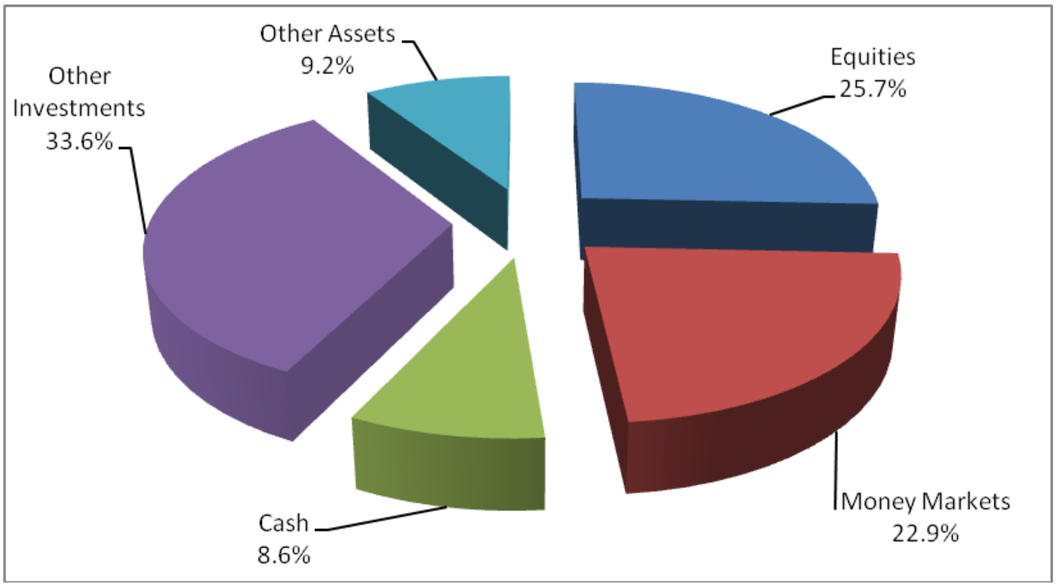
13.1 During the quarter under review, the total assets for the reassurance industry increased by 4% from $36.6 million as at 31 December 2017 to $39.1 million as at 31 March 2018.

13.2 The increase in total assets was mainly attributable to an increase in prescribed assets from $3.2 million as at 31 December 2017 to $3.9 million as at 31 March 2018.

13.3 Notwithstanding the increase in prescribed asset investments mentioned above, equities remained a major investment asset for life reassurance companies accounting for 25.7% of the total assets.

13.4 Liquid assets such as money market and cash constituted 31.5% of the total investment portfolio.

Figure 4: Life Re-assurers Total Assets as at 31 March 2018



** Other investments below include plant and equipment, receivables and unquoted shares.*

13.5 The average prescribed asset ratio for the industry as at 31 March 2018 was 9.31%, which was above the regulatory minimum of 7.5% for life assurance companies.

13.6 However, 2 out of the 5 life reassurance companies reported prescribed asset ratios which were below the minimum threshold of 7.5%.

13.7 Table 5 below indicates the prescribed asset compliance levels as at 31 March 2018.

Table 5: Variance in compliance in prescribed assets

Reinsurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Amount required to be compliant
1. Baobab Re	1,002.00	12,662.00	7.91%	949.65
2. FBC Re	2,481.00	25,826.00	9.61%	1,936.95
3. FM Re	421.00	3,328.00	12.65%	249.60
4. Grand Re	-	24.00	0.00%	1.80
5. Zep Re	-	77.00	0.00%	5.78
Total	3,904.00	41,917.00	9.31%	3,143.78

13.8 The Insurance and Pensions Commission will not hesitate to take regulatory action against non-compliant players.

14. Earnings

14.1 Life reassurers reported a total profit after tax of $77,000 for the quarter ended 31 March 2018 down from $226,000 reported for the comparative period in 2017.

14.2 The decline in profit was mainly driven by poor performance of investments as well as high claims reported for the quarter ended 31 March 2018.

14.3 The life reassurance business had a combined ratio of 84%, which was mainly attributed to an increase in claims.

14.4 Total costs for re-assurers stood at $1.3 million and underwriting profit was $261,000. Industry players are advised to employ cost cutting measures in order to increase profitability.

15. Liquidity

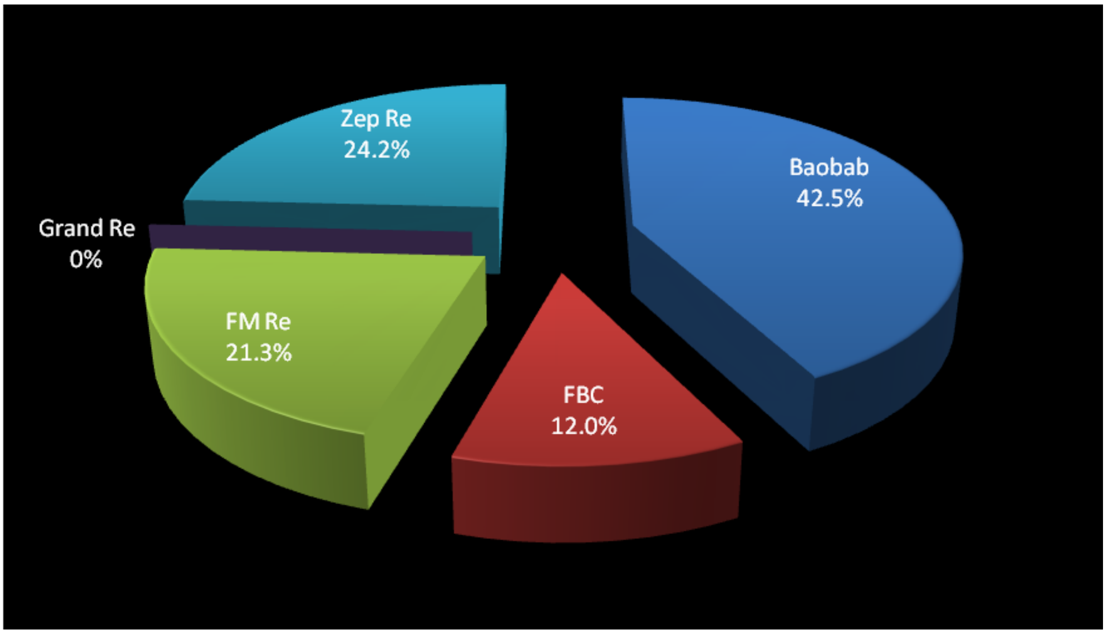
15.1 Current assets increased from $18.7 million as at December 2017 to $22.2 million as at 31 March 2018. Current liabilities also increased from $10.2 million to $10.8 million.

15.2 In this regards, the Industry liquidity ratio (current ratio) increased by 20%, from 184% as at 31 December 2017 to 204% as at 31 March 2018 implying that the industry had adequate current assets to cover its current liabilities.

16. Market Share

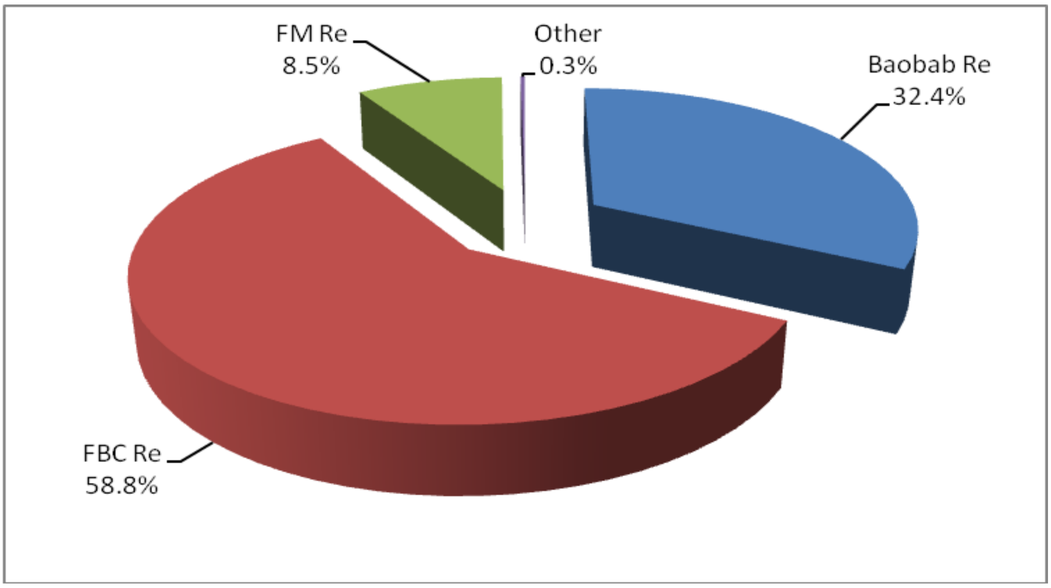
16.1 About 67% of the Gross Premium Income (GPI) is credited to Zep Re, FBC Re and FM Re, whilst Baobab Re contributed about 43% of the total premiums written.

Figure 5: Market Share distribution in terms of GPW as at 31 March 2018



16.2 In terms of total assets, FBC Re had 59% market share followed by Baobab Re and FM Re at 32% and 9% respectively (See figure 6 below).

Figure 6: Market Share distribution in terms of total assets as at 31 March 2018



**other comprises of Grand Re and Zep Re*

17. Conclusion

17.1 The Commission continues to encourage the industry to take note of ALL regulatory developments to ensure compliance with all applicable laws, statutes, directives, guidelines and circulars on an ongoing basis. In particular, the industry is expected to conduct self assessments with respect to solvency capital requirements on an ongoing basis as dictated under statutory instrument 95 of 2017.

17.2 Non-compliant players are encouraged to approach the Commission with their proposed compliance roadmaps to address non-compliance.

17.3 In addition, the industry is expected to make progress to comply with the Commission's Directive on Risk Management and Corporate Governance for Insurance Companies which became effective on the 1st of January 2018.

17.4 Given the rise in administrative and management costs for insurance companies, individual players are expected to put in place measures that contain such costs within reasonable and acceptable thresholds to ensure sustainable profits for the industry in the long term.

17.5 The life insurance industry should consider new markets such as informal and low-income sectors under the micro insurance framework as guided by the financial inclusion policy.

17.6 Players in the life assurance industry should submit quarterly returns timeously to ensure early production of reports. More importantly, players should accurately and consistently provide their statistics for each quarter to avoid delays arising from further clarifications being sought by the Commission on each individual player's submissions.

18. Annexures

ANNEXURE 1: Business Composition Computation Life Insurers as at 31 March 2018

Company Name	Individual Life						Employee Benefits						Total		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)
CBZ Life	16	63	294%	1,767	1,903	8%	514	569	11%	234	365	56%	2,531	2,900	15%
Econet Life	159	125	-21%	1,710	3,157	85%	0	0	0%	115	125	9%	1,984	3,407	72%
Evolution Health & Life	17	1	-94%	118	135	14%	0	0	0%	-	-	0%	135	136	1%
Fidelity Life	85	429	405%	1,032	726	-30%	0	4	0%	1,249	2,157	73%	2,366	3,316	40%
First Mutual Life	129	145	12%	4,411	4,577	4%	0	16	0%	3,355	4,731	41%	7,895	9,469	20%
Getsure Life	33	42	27%	200	374	87%	96	151	57%	61	26	-57%	390	593	52%
Heritage Life	6	1	-83%	424	209	-51%	0	1	0%	10	0	-100%	440	211	-52%
Nyaradzo Life	235	370	57%	14,952	17,239	15%	12	13	8%	6,681	7,435	11%	21,880	25,057	15%
Old Mutual Life	302	363	20%	4,406	4,617	5%	10,883	13,650	25%	21,728	24,079	11%	37,319	42,709	14%
ZB Life	66	42	-36%	1,133	1,331	17%	53	75	42%	1,521	1,647	8%	2,773	3,095	12%
Zimnat Life	294	686	133%	1,674	1,761	5%	350	378	8%	2,579	3,259	26%	4,897	6,084	24%
Total	**1,342**	**2,267**	69%	**31,827**	**36,029**	13%	**11,908**	**14,857**	25%	**37,533**	**43,824**	17%	**82,610**	**96,977**	17%

ANNEXURE 2: Business Composition by product line for the quarter ended 31 March 2018

	Annuities			Term Insurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			Other/GLA		
Company	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)	Mar-17	Mar-18	Growth (%)
CBZ Life	**0**	**1**	**0%**	**1,057**	**1,178**	**11%**	**7**	**7**	**0%**	**0**	**0**	**0%**	**37**	**39**	**5%**	**1,430**	**1,573**	**10%**	**0**	**0**	**0%**	**0**	**106**	**100%**
Econet Life	**0**	**0**	**0%**	**115**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**1,868**	**3,282**	**76%**	**0**	**0**	**0%**	**0**	**125**	**100%**
Evolution Health & Life	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**1**	**1**	**100**	**134**	**136**	**1%**	**0**	**0**	**0%**	**0**	**0**	**0%**
Fidelity Life Assurance	**25**	**47**	**88%**	**46**	**25**	**-46%**	**97**	**403**	**315%**	**148**	**214**	**45%**	**127**	**58**	**-54%**	**463**	**408**	**-12%**	**1,249**	**0**	**-100%**	**211**	**2,158**	**923%**
First Mutual Life	**1,322**	**2,407**	**82%**	**931**	**1,276**	**37%**	**97**	**103**	**6%**	**0**	**0**	**0%**	**185**	**165**	**-11%**	**1,896**	**1,786**	**-6%**	**1,637**	**3,110**	**100%**	**1,829**	**621**	**-66%**
Getsure Life Assurance	**0**	**0**	**0%**	**0**	**151**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**104**	**151**	**45%**	**0**	**0**	**0%**	**285**	**291**	**2%**
Heritage Life	**2**	**80**	**0%**	**0**	**0**	**0%**	**0**	**2**	**0%**	**0**	**0**	**0%**	**0**	**5**	**100%**	**436**	**124**	**-72%**	**0**	**0**	**0%**	**1**	**0**	**-100%**
Nyaradzo Life Assurance	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**21,880**	**25,056**	**15%**	**0**	**0**	**0%**	**0**	**0**	**0%**
Old Mutual Life Assurance	**2,188**	**2,253**	**3%**	**0**	**0**	**0%**	**0**	**70**	**0%**	**0**	**0**	**0%**	**1,702**	**1,492**	**-12%**	**897**	**1,262**	**41%**	**27,079**	**31,896**	**18%**	**5,454**	**5,737**	**5%**
ZB Life Assurance	**30**	**41**	**37%**	**168**	**142**	**-15%**	**201**	**159**	**-21%**	**466**	**637**	**37%**	**25**	**12**	**-52%**	**310**	**1,712**	**452%**	**427**	**391**	**100%**	**1,147**	**0**	**-100%**
Zimnat Life Assurance	**95**	**108**	**14%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**0**	**0**	**0%**	**329**	**319**	**-3%**	**1,106**	**1,426**	**29%**	**1,718**	**2,682**	**100%**	**1,650**	**1,547**	**-6%**
Total	**3,662**	**4,937**	**35%**	**2,317**	**2,772**	**20%**	**402**	**744**	**85%**	**614**	**851**	**39%**	**2,406**	**2,091**	**-13%**	**30,524**	**36,916**	**21%**	**32,110**	**38,079**	**19%**	**10,577**	**10,585**	**0%**

ANNEXURE 3: Life Industry Asset Bases as at 31 March 2018

(values are in $000's)	Fixed Property			Equities			Money Markets			Cash			Other Investments			Prescribed Assets			Total Assets		
Co. Name	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth
CBZ Life	3,832	4,390	15%	898	835	0%	10,352	11,933	15%	3,437	2,394	0%	1,257	1,608	28%	2,614	3,192	22%	22,390	24,352	9%
Econet Life	-	2,084	0%	8,792	8,541	0%	913	402	0%	712	1,243	75%	3,652	2,485	-32%	1,646	1,661	1%	15,715	16,416	4%
Evolution Health & Life	56	1,573	0%	1,100	1,175	0%	-	-	0%	23	7	-70%	2,344	793	-66%	95	95	100%	3,618	3,643	1%
Fidelity Life Assurance	19,438	21,539	11%	33,613	31,925	-5%	3,264	1,614	-51%	745	4,536	509%	12,345	12,392	0%	31,143	30,474	-2%	100,548	102,480	2%
First Mutual Life	-	-	0%	39,494	40,658	3%	10,331	10,445	1%	10,280	7,045	-31%	146,773	148,531	1%	32,244	30,214	-6%	239,122	236,893	-1%
Getsure Life Assurance	375	380	1%	3,131	3,338	0%	85	251	0%	178	200	12%	1,737	1,507	-13%	680	680	0%	6,186	6,356	3%
Heritage Life	50	47	-6%	2,093	-	-100%	-	-	0%	137	124	-9%	496	816	65%	20	21	100%	2,796	1,008	-64%
Nyaradzo Life Assurance	53,098	55,303	4%	3,359	3,359	0%	4,676	4,453	-5%	9,446	11,636	23%	35,531	36,031	1%	11,938	12,189	2%	118,048	122,971	4%
Old Mutual Life Assurance	407,388	409,728	1%	1,042,825	955,363	-8%	77,469	67,639	-13%	13,890	13,789	-1%	31,933	50,508	58%	209,747	185,088	-12%	1,783,252	1,682,115	-6%
ZB Life Assurance	2,785	2,785	0%	12,169	11,887	-2%	1,873	1,433	-23%	144	135	-6%	30,521	30,352	-1%	3,958	4,180	6%	51,450	50,772	-1%
Zimnat Life Assurance	21,085	21,050	0%	29,345	36,006	23%	33,777	25,312	-25%	3,982	3,068	-23%	6,887	8,121	18%	7,083	6,990	-1%	102,159	100,547	-2%
Total	**508,107**	**518,879**	2%	**1,176,819**	**1,093,087**	**-7%**	**142,740**	**123,482**	**-13%**	**42,974**	**44,177**	**3%**	**273,476**	**293,144**	**7%**	**301,168**	**274,784**	**-9%**	**2,445,284**	**2,347,553**	**-4%**

**other investments comprise of property, plant and equipment, receivables and unquoted shares.*

ANNEXURE 4: Life assurers lapse Ratios as at 31 March 2018

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapsed Policies (Others)	Lapse Ratio
CBZ Life	60,304	1,854			3.07%
Econet Life	1,006,504	19,294	-		1.92%
Evolution Health & Life	43,374	-			0.00%
Fidelity Life Assurance	-	-			0.00%
First Mutual Life	111,754	14,225			12.73%
Getsure Life Assurance	39,216	967	-	-	2.47%
Heritage Life	-	-			0%
Nyaradzo Life Assurance	348,946	15,111	7		4.33%
Old Mutual Life Assurance	53,760	1,312			2.44%
ZB Life Assurance	8,588	664			7.73%
Zimnat Life Assurance	35,148	1,402			3.99%
Totals	**1,707,594**	**54,829**	**7**	**-**	3.21%

ANNEXURE 5: Not taken up policies for Life Insurers as at 31 March 2018

Company	Number of Policies (NTU)	Gross Premium (NTU) $ 000"
CBZ Life	384	2
Econet Life	19,294	31
Evolution Health & Life	-	-
Fidelity Life Assurance	-	-
First Mutual Life	145	4
Getsure Life Assurance	63	4
Heritage Life	671	9
Nyaradzo Life Assurance	-	-
Old Mutual Life Assurance	25	3
ZB Life Assurance	401	15
Zimnat Life Assurance	2,836	87
Totals	**23,819**	**155**

ANNEXURE 6: Gross Premium Written for Life Reassurers

	Mar-17	Mar-18	Growth
Baobab Re	813	795	-2.2%
FBC Re	129	224	73.6%
FM Re	411	399	-2.9%
Grand Re	80	-	0.0%
Zep Re	-	452	0.0%
Total	**1,433**	**1,870**	**30%**

ANNEXURE 7: Life Assurers Prescribed Asset Ratio Status as at 31 March 2018

Insurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Amount required to be compliant	Variance in compliance%
CBZ Life	3,192,378.23	24,351,687.68	13.11%	1,826,376.58	5.6%
Econet Life	1,662,167.00	16,416,515.00	10.12%	1,231,238.63	2.6%
Evolution Health & Life	94,860.00	3,643,426.00	2.60%	273,256.95	-4.9%
Fidelity Life Assurance	30,474,101.00	102,479,984.00	29.74%	7,685,998.80	22.2%
First Mutual Life	30,214,157.00	236,894,322.00	12.75%	17,767,074.15	5.3%
Getsure Life Assurance	679,837.00	6,356,318.00	10.70%	476,723.85	3.2%
Heritage Life	20,650.00	1,007,999.00	2.05%	75,599.93	-5.5%
Nyaradzo Life Assurance	12,189,066.00	122,971,478.00	9.91%	9,222,860.85	2.4%
Old Mutual Life Assurance	185,088,361.00	1,682,115,654.00	11.00%	126,158,674.05	3.5%
ZB Life Assurance	4,179,549.00	50,771,002.00	8.23%	3,807,825.15	0.7%
Zimnat Life Assurance	6,990,645.41	100,547,502.00	6.95%	7,541,062.65	-0.5%
Total	**274,785,771.64**	**2,347,555,887.68**	**11.71%**	**176,066,691.58**	**4.2%**

ANNEXURE 8: Combined ratios for Life Assurers for the Quarter ended 31 March 2018

Company	Net Premiums Written	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	claims ratio	Commission Ratio	Combined ratio
CBZ Life	2,803	647	472	245	1,364	1,439	17%	23%	9%	49%
Econet Life	3,328	1,398	1,152	0	2,550	778	35%	42%	0%	77%
Evolution Health & Life	135	16	78	22	116	19	58%	12%	16%	86%
Fidelity Life	3,237	810	1,962	154	2,926	311	61%	25%	5%	90%
First Mutual Life	9,364	3,129	3,219	380	6,728	2,636	34%	33%	4%	72%
Getsure Life	586	58	248	73	379	207	42%	10%	12%	65%
Heritage Life	209	26	224	10	260	(51)	107%	12%	5%	124%
Nyaradzo Life	25,056	12,735	7,193	2100	22,028	3,028	29%	51%	8%	88%
Old Mutual Life	42,017	23,580	4,236	462	28,278	13,739	10%	56%	1%	67%
ZB Life	2,973	1,595	1,129	456	3,180	(207)	38%	54%	15%	107%
Zimnat Life	5,786	1,329	1,815	509	3,653	2,133	31%	23%	9%	63%
Totals	**95,494**	**45,323**	**21,728**	**4,411**	**71,462**	**24,032**	**23%**	**47%**	**5%**	**75%**

ANNEXURE 9: Capitalisation, Solvency and Liquidity Indicators for the Life Reassurers as at 31 March 2018

Item	Baobab Re			FBC Re			FM Re			Grand Re			Zep Re			Total		
	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth
Current Assets	4,025	3,227	-20%	13,302	16,772	26%	1,322	2,059	56%	95	17	0%	-	76	0%	18,744	22,151	18%
Total Assets	11,907	12,662	6%	22,166	22,983	4%	2,402	3,327	39%	105	24	0%	-	76	0%	36,580	39,072	7%
Current Liabilities	496	614	24%	9,022	8,913	-1%	507	1,370	170%	151	73	0%	-	(132)	0%	10,176	10,838	7%
Total Liabilities	4,558	5,246	15%	9,022	8,913	-1%	950	1,504	58%	151	73	0%	-	(132)	0%	14,681	15,604	6%
Capital	**7,349**	**7,416**	1%	**13,144**	**14,070**	7%	**1,452**	**1,823**	26%	**(46)**	**(49)**	0%	**-**	**208**	0%	**21,899**	23,468	7%
Prescribed Assets	995	1,002	1%	1,184	2,481	0%	383	421	10%	-	-	0%	-	-	0%	2,562	3,904	52%
Prescribed Assets Ratio	**8%**	**8%**	-5%	**5%**	**11%**	0%	**16%**	**13%**	-21%	**0%**	**0%**	0%	**0%**	**0%**	0%	**7%**	**10%**	43%
Current Ratio	811%	526%	-35%	147%	188%	28%	261%	150%	-42%	0%	23%	0%	0%	0%	0%	184%	204%	11%
Capital to Liability Ratio	**161%**	**141%**	-12%	**146%**	**158%**	8%	**153%**	**121%**	-21%	**0%**	**-67%**	0%	**0%**	**0%**	0%	**149%**	**150%**	1%

ANNEXURE 10: Cost Drivers for the quarter ended 31 March 2018

Company	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	claims ratio	Commission Ratio	Combined ratio	Net Premiums
Baobab Re	74	274	307	655	(8)	42%	11%	47%	101%	647
FBC Re	17	22	35	74	103	12%	10%	20%	42%	177
FM Re	195	141	62	398	(74)	44%	60%	19%	123%	324
Grand Re	7	0.3	0	7	(7)	0%	0%	0%	0%	-
Zep Re	78	13	104	195	247	3%	18%	24%	44%	442
Totals	**371**	**450**	**508**	**1,329**	**261**	28%	23%	32%	84%	1,590

ANNEXURE 11: Life Reassurers total assets as at 31 March 2018

Item	Baobab Re			FBC Re			FM Re			Grand Re			Zep Re			Total		
	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth	Dec-17	Mar-18	Growth
Fixed Property	-	-	0%	-	-	0%	5	-	0%	8	7	-13%	-	-	0%	13	7	-46%
Equities	7,957	7,941	0%	1,647	1,647	0%	916	1,264	38%	-	-	0%	-	-	0%	10,520	10,852	3%
Money Markets	645	107	-83%	7,356	8,364	14%	-	1,195	0%	-	-	0%	-	-	0%	8,001	9,666	21%
Cash	213	176	-17%	3,292	3,434	4%	1,785	5	-100%	16	16	0%	-	-	0%	5,306	3,631	-32%
Other Investments	2,667	3,436	29%	7,455	9,900	33%	896	864	-4%	23	-	0%	-	76	0%	11,041	14,200	29%
Prescribed Assets	989	1,002	1%	1,835	2,481	100%	392	421	7%	-	-	0%	-	-	0%	3,216	3,904	21%
Total Assets	12,471	11,660	-7%	20,635	23,345	13%	3,602	3,328	-8%	47	23	-51%	-	76	0%	36,755	39,072	4%